BRIEFING NOTE · OCTOBER 2026

France in 2026

Near-stagnation, a sovereign debt test at a 5% yield, and Europe's anchor in a tariff and energy shock



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Data as of 26 October 2026

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Five steps to understanding France today

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Near-stagnation, and inflation is back

+0.9%

GDP growth in 2025

Down from 1.1% in 2024

+0.4%

Growth forecast for 2026

Banque de France, Sept; 0.9% in 2027

3.1%

CPI inflation, September

HICP 3.4%; core 1.5%; energy +21.3% y/y

8.3%

Unemployment, Q2 2026

Highest since 2020; youth 21.6%

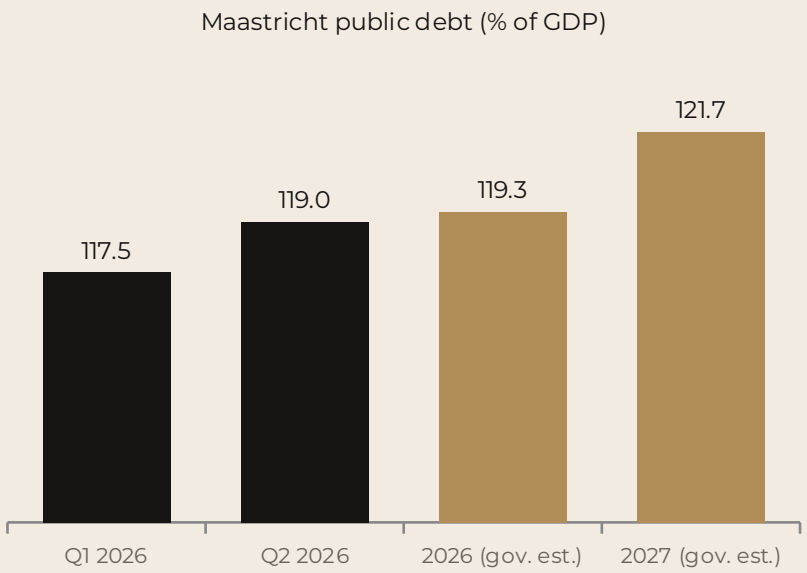
What weighs on it: GDP fell 0.2% in Q1 and was flat in Q2 (drought hit harvests); the Middle East war pushed energy prices up, while household spending and private investment stay weak amid fiscal uncertainty.

What supports it: exports rebounded 2.9% in Q2, led by aerospace; the Banque de France still sees a slow recovery from 2027.

Reading note: French GDP is reported quarter-on-quarter (not annualised, unlike US data). CPI is the national index; HICP is the harmonised euro-area measure the ECB targets. Q3 GDP is due at the end of October.

Sources: INSEE (2025 accounts, Feb 2026; Q2 detailed results, 28 Aug 2026; CPI, 15 Oct 2026; unemployment, 7 Aug 2026); Banque de France projections (15 Sep 2026)

119% of GDP in debt, and a 5% bond yield



Axis starts at 110% to show the trend. Black: INSEE actuals; gold: government projections (PLF 2027).

- Deficit of 5.1% of GDP in 2025; the government expects 5.4% in 2026 and targets 5.0% in 2027 with €43 bn of new savings.
- 10-year OAT yield passed 5% on 21 Oct, a first since 2002; the spread over the Bund (~157 bp) is the widest since 2011, and France now pays more than Italy.
- Ratings: Moody's Aa3, negative outlook (kept on 23 Oct); S&P and Fitch A+, stable.
- State interest bill projected at €72.9 bn in 2027, up from €62.6 bn in 2026; no majority in the Assembly to pass the budget.

Sources: INSEE public debt (29 Sep 2026); PLF 2027 via AFP (19 Sep 2026); AFP/Le Figaro on OAT yields (21 Oct 2026); Moody's via Business Times (25 Oct 2026)

Nuclear power as a shield, oil as the weak point

373 TWh

nuclear output in 2025

Back to its 2019 level

92.3 TWh

record net power exports

Europe's largest exporter; 2025

95.2%

low-carbon electricity

Share of mainland generation, 2025

$107.6

Brent per barrel, 19 Oct

+5% since 1 Oct; Middle East risk

Trade: a smaller deficit, but energy still costs

- Goods trade deficit of €65.5 bn in 2025 (€78.5 bn in 2024); €62.7 bn over the 12 months to August 2026.
- Net energy bill of €3.8 bn in August, below the April peak (€5.2 bn) but above August 2025 (€3.3 bn).
- Aerospace leads exports and is exempt from additional US duties; pharmaceuticals and chemicals fell sharply in Q2.

Sources: RTE Bilan électrique 2025 (25 Feb 2026); French Customs via France Épargne (7 Oct 2026); Reuters via Économie Matin (19 Oct 2026); DG Trésor (Q2 2026)

Solid assets, shrinking room for manoeuvre

Strengths

- Low-carbon nuclear power and record electricity exports
- World-class champions in aerospace, luxury and pharmaceuticals
- Exports to the US resist better than Germany's (−2% y/y in Q2)
- 2,437 tonnes of gold at the Banque de France
- Nuclear power, UN Security Council seat, G7 presidency in 2026

Constraints

- Debt at 119% of GDP, deficit around 5.4%, a 5% 10-year yield
- No majority in the Assembly; the 2027 budget may slip past year-end
- Growth of 0.4% and unemployment rising to 8.4% by year-end
- Energy-driven inflation, ECB rate hikes
- Riots of 17-18 October: ~3,000 shops vandalised, ~€1 bn in damage

Sources: RTE; DG Trésor; Banque de France; INSEE; AFP; Fédération du commerce et de la distribution; iFRAP (Oct 2026)

02



France and the United States

Tariffs, the digital tax, the Évian G7 and Ukraine

2026: threats, courts and a summit



Pattern: US tariff policy keeps changing its legal basis, but the EU's 15% ceiling has held; disputes now centre on steel (50%) and France's 3% digital services tax.

Sources: Public Sénat (21 Jan 2026); DG Trésor Q2 2026 note; Euronews (15 Jun 2026); Reuters via Stratfor (24 Jul 2026); Grant Thornton (23 Jun 2026)

Évian: Paris hosts the G7, and Trump

G7 summit in Évian, mid-June 2026

- Leaders welcome a US-Iran memorandum to end the war and reopen Hormuz
- "Unwavering support" for Ukraine; Russia judged unwilling to negotiate
- Plans for licensed production of missiles and air defence in Ukraine
- Trump stays for the whole summit and praises an "extremely successful" G7
- No trade outcome; the digital-tax dispute stays open

Since then

Coalition of the willing, 13 Jul
Paris meeting welcomes Trump's support for security guarantees for Ukraine

Section 301 duties, 24 Jul
10% on the EU, kept within the 15% ceiling of the 2025 deal

Digital tax, unresolved
Macron refuses to scrap the 3% tax; a 100% wine and champagne threat remains

Sources: La Gazette France / AFP (17 Jun 2026); Élysée (13 Jul 2026); Reuters via Stratfor (24 Jul 2026); Euronews; Grant Thornton (Jun 2026)

Four fault lines to watch

Steel and the deal

US steel and aluminium duties stay at 50%; the EU can reinstate its tariffs from 31 Dec 2026.

Digital tax

France's 3% levy on Big Tech revenue against a threatened 100% tariff on wine and champagne.

Ukraine and Russia

Paris co-leads the coalition of the willing; Washington eased some Russia sanctions in October.

Strategic autonomy

A "European preference" in arms buying, and the Greenland episode, test the alliance.

Assessment: the relationship is strained but contained: France is less exposed to US sector duties than Germany, yet its fiscal weakness limits its leverage.

Sources: Grant Thornton (Jun 2026); Euronews (15 Jun 2026); Reuters via Économie Matin (19 Oct 2026); Le Petit Journal (Jan 2026); DG Trésor

What partners gain, and the limits

United States

- A nuclear-armed ally with a UN Security Council seat
- Partner on Ukraine guarantees and Hormuz
- Largest foreign investor in France ($144 bn stock)
- Surplus in services and energy sales

France

- Its largest non-EU market: $100 bn of exports in 2025
- Aerospace exempt from additional duties
- US security umbrella while Europe rearms
- Access to US tech, capital and LNG

The world

- A mediator on Iran, Ukraine and the Middle East
- Low-carbon power for its neighbours
- A voice for an "equal partnership" with Africa
- Euro-area anchor alongside Germany

Limit: political instability at home and the April 2027 presidential election could change France's line on Europe, Ukraine and trade; partners should plan for continuity risk.

Sources: DG Trésor (bilateral relations, 2025 data; FDI stocks end-2024); G7 Évian communiqué; Élysée; Le Petit Journal (8 Jan 2026)

04

The monetary dimension

The ECB, the euro, gold, frozen assets and the digital euro



The ECB tightens into an energy shock

2.50%

ECB deposit rate
Raised in June and September 2026

3.2%

Euro-area inflation, August
Highest since September 2023

1.12

EUR/USD, 23 October
1.17 on 2 January 2026

5.0%

French 10-year yield
21 October; spread ~157 bp

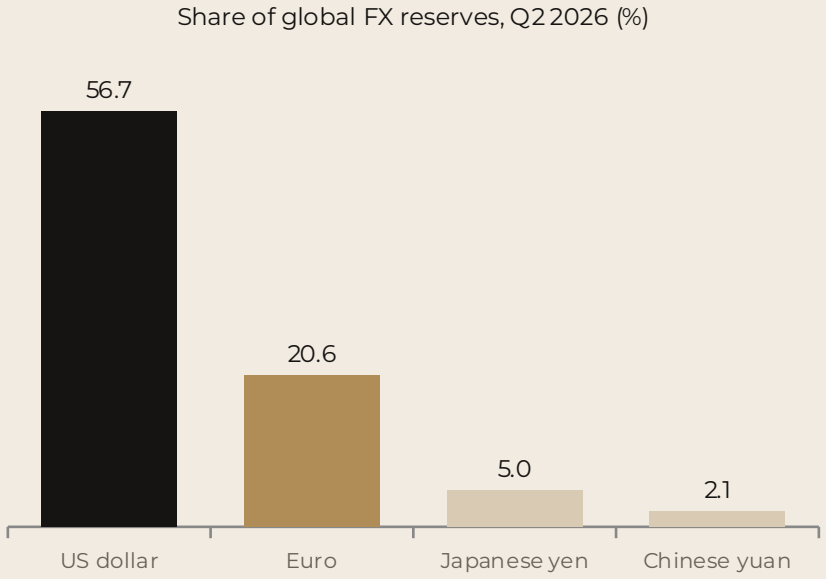
Why it moved: with oil above $100, the ECB wants to stop energy prices feeding into wages; it projects 3.0% inflation and 0.9% growth for the euro area in 2026.

For France: higher policy rates and a wider spread raise the cost of refinancing €340 bn of state debt in 2027.

To watch: ECB meetings on 29 October and 17 December; markets expect one more hike by the end of 2026.

Sources: ECB decisions (11 Jun, 10 Sep 2026) via Auguste Patrimoine; Pound Sterling Live (EUR/USD); AFP (21 Oct 2026); Business Times (25 Oct 2026)

The euro: a firm second to the dollar



Euro share up from 20.0% in Q1 2026; total reserves $13.2 tn.

2,437 t

Banque de France gold

Unchanged; 129 t in New York replaced by Paris bars

≈ $320 bn

value of that gold

At $4,088/oz, 22 Oct 2026 (estimate)

€210 bn

Russian assets frozen in EU

€193 bn at Euroclear (Belgium)

€90 bn

EU loan to Ukraine

2026-2027, EU borrowing, not the assets

Sources: IMF COFER data brief (30 Sep 2026); Reuters via Tradingsat (24 Mar 2026); Fortune (22 Oct 2026); NPR / AP (19 Dec 2025)

The digital euro: a 2029 horizon

Legislation advancing

ECON committee backed the text 43-14 (23 Jun); Parliament adopted its mandate 416-169 in July; talks with the Council have started.

Design

A holding cap of €3,000 per person proposed by the ECB; offline payments; excess swept to a linked bank account.

Timeline

If adopted in 2026: pilot from mid-2027, first possible issuance in 2029. Sovereignty over payments is the stated aim.

What it means for business partners

- Euro funding is dearer: ECB hikes and a wider French spread
- French corporate credit may price off a weaker sovereign
- US duties: 15% ceiling for most EU goods; aerospace exempt; steel at 50%
- EUR/USD near 1.12: hedge dollar revenue and energy costs
- No digital euro before 2029; plan payments on existing rails

Sources: Économie Matin (4 Jul 2026); Cyril Jarnias (10 Jul 2026); Paperjam (ECB timeline); DG Trésor; ECB

Nine dimensions for a complete picture

2027 election
April first round; RN leads polls

Budget and ratings
Year-end vote, rating reviews

Nuclear and energy
Fleet output, new reactors, prices

Industry
Aerospace, defence, pharmaceuticals

Labour market
Unemployment, youth, pensions

Social cohesion
Riots, distrust, territorial divides

Ukraine and defence
Guarantees, defence spending

Africa
Sahel exit, Algeria, Nairobi summit

EU and the euro
Strategic autonomy, digital euro

KEY TAKEAWAYS

Sound assets, a fragile budget

1. **Near-stagnation, inflation back**
   Growth of about 0.4% in 2026; CPI at 3.1% on energy; unemployment at 8.3%.

2. **A sovereign debt test**
   Debt at 119% of GDP, a 5% 10-year yield and the widest spread since 2011.

3. **Assets that still hold**
   Nuclear power and record exports, aerospace, 2,437 t of gold, G7 diplomacy.

4. **Contained transatlantic friction**
   The 15% ceiling holds; steel and the digital tax are the flashpoints.

Next: ECB 29 Oct; INSEE Q3 GDP end-Oct; budget vote by year-end; EU tariff review 31 Dec; presidential election April 2027.

Main sources

- INSEE: national accounts (2025; Q2 2026), CPI (Sep 2026), unemployment (Q2 2026), public debt (Q2 2026)
- Banque de France: interim projections (15 Sep 2026); gold operations via Reuters (24 Mar 2026)
- PLF 2027 via AFP (19 Sep 2026); Business Times on Moody's (25 Oct 2026)
- AFP / Le Figaro on OAT yields (21 Oct 2026)
- RTE Bilan électrique 2025; French Customs (Aug 2026 trade, 7 Oct 2026)
- DG Trésor: US-France relations; Q2 2026 export note
- ECB decisions (Jun, Sep 2026); IMF COFER (30 Sep 2026)
- Élysée: Paris Declaration (6 Jan) and coalition statement (13 Jul 2026)
- AFP / La Gazette France on the Évian G7 (17 Jun 2026); Euronews (15 Jun 2026)
- Reuters via Stratfor (Section 301, 24 Jul 2026); Grant Thornton (Jun 2026)
- NPR / AP on the EU loan to Ukraine (19 Dec 2025); Fortune (gold, 22 Oct 2026)
- Économie Matin, Cyril Jarnias, Paperjam (digital euro)

Method: official French and euro-area statistics cross-checked with market data and independent outlets. Figures as reported on 26 October 2026; gold valuation is an estimate.